EQUITY RESEARCH | INITIATING COVERAGE

NAVA LIMITED

NSE: NAVA | BSE: 513023 | Sector: Metals & Mining / Power | Sub-sector: Ferro Alloys & Energy

A MULTI-GEOGRAPHY ENERGY & METALS COMPOUNDER

RATING

BUY

12M TARGET: Rs. 900

Upside: +23.3%

Conviction: HIGH

Horizon: 18-24 months

CMP (11-May-26)	**Rs. 730**
Market Cap	**Rs. 20,658 Cr**
52W High / Low	**Rs. 739 / Rs. 446**
P/E (TTM)	**23.1x**
P/B	**2.55x**
Book Value / Share	**Rs. 286**
ROCE / ROE	**17.2% / 15.0%**
Dividend Yield	**1.1%**
Face Value	**Rs. 1.0**
Promoter Holding	**50.11% (0% pledged)**

INVESTMENT THESIS: Zambia 600 MW expansion (300 MW thermal + 100 MW solar) unlocks $200 Mn+ annual revenue by FY28; ferro alloys recovery and Indian energy pivot add optionality — at 23x TTM P/E, deeply mispriced relative to post-expansion earnings power.

Report Date: 11 May 2026 | Analyst: Chartitude Research Desk | Data Source: Screener.in — Consolidated Figures | All amounts in Rs. Crores unless stated

SECTION 2 — INVESTMENT THESIS

Reason 1 — Zambia Power Monopoly, Doubling Capacity	Maamba Energy Limited (MEL) operates Zambia's sole 300 MW integrated thermal power plant, representing 10% of the country's total installed grid capacity. A 300 MW expansion ($400 Mn capex; ~$190 Mn already deployed) is on track for H2 FY27 commissioning, effectively doubling MEL's output. Management has guided incremental revenue of $180-200 Mn/year (~Rs. 1,500-1,680 Cr) at margins exceeding 60%, delivering a step-change in consolidated earnings from FY28 onwards.
Reason 2 — Solar Diversification De-risks the Zambia Story	NAVA has incorporated Maamba Solar Energy Limited (MSEL) and commenced construction of a 100 MW solar project ($90 Mn capex) in September 2025, targeting H1 FY27 commissioning. This adds ~$15-16 Mn/year in zero-fuel-cost renewable revenue, reduces political and fuel-price risk, and elevates NAVA's ESG profile — potentially attracting longer-tenure PPA counterparties and development-finance investors.

Reason 3 — Balance Sheet Transformation Drives Re-rating	Consolidated borrowings collapsed from Rs. 3,074 Cr (FY23) to Rs. 414 Cr (FY24) after the landmark full repayment of Zambia project debt — eliminating ~Rs. 275 Cr of annual interest. FY25 FCF of Rs. 1,305 Cr and FY24 FCF of Rs. 3,008 Cr demonstrate elite cash conversion. NAVA now carries a D/E of ~0.1x, one of the cleanest balance sheets in Indian metals, providing headroom to fund the next expansion largely internally.
Near-Term Catalyst (6-12 months)	FY26 annual results (board meeting 15-May-2026), followed by commissioning milestones for the Zambia 300 MW expansion — erection phase is in full swing. Any positive guidance upgrade or a meaningful recovery in ferro alloy prices (up 8% QoQ in Q3FY26) could trigger a sharp re-rating from current depressed TTM earnings. Watch also for ZESCO arrear recovery updates; reduction below $20 Mn would be a strong positive signal.
Biggest Structural Risk	ZESCO (Zambia's state utility) counterparty risk — $30.5 Mn in outstanding arrears as of Dec 2025, with a history of payment delays. Any deterioration in Zambia's sovereign creditworthiness or power-sector reform reversal could materially impair MEL's cash flows and threaten the dividend repatriation model that funds NAVA's India operations and capex.

SECTION 3 — BUSINESS OVERVIEW

Core Business Model	NAVA Limited (formerly Nava Bharat Ventures, est. 1972) is a Hyderabad-based multinational conglomerate operating across ferro alloys manufacturing, thermal power generation, coal mining, and agribusiness across India, Zambia, and Southeast Asia. The group is structured around two dominant earnings engines: Indian captive-power-integrated ferro alloys and the Zambia energy platform via Maamba Energy (MEL).
Revenue Segments (H1 FY25)	Energy ~75% of revenue (India thermal 434 MW + Zambia MEL 300 MW); Ferro Alloys ~20% (silico manganese and chrome alloys from Paloncha, Telangana and Kharagprasad, Odisha); Mining ~3% (Zambia coal through Maamba Collieries, the country's largest coal mine concessionaire); Agribusiness & Others ~2% (avocado plantation 275 hectares, Kawambwa Sugar project).
Energy — India	Eight thermal power plants totalling 434 MW in Telangana, Odisha, and Andhra Pradesh. Over 70% output sold under PPAs. Key development: a 5-year bilateral contract signed with Tamil Nadu at Rs. 5.2/kWh for the 60 MW Odisha IPP plant — locking in base-load revenue and partially offsetting the 12% YoY decline in Indian merchant power tariffs.
Energy — Zambia (MEL)	NAVA holds 65% of Maamba Energy Limited. MEL achieved 96.6% PLF in Q3FY26 (up from 80.4% in Q2FY26). ZESCO arrears stand at $30.5 Mn (declining from ~$60 Mn a year ago; $20 Mn recovered in Q3FY26 alone). Full-year revenue guidance for existing 300 MW: ~$90-95 Mn.
Ferro Alloys	India's second-largest ferro alloy producer by volume; output >200,000 MT/year. Approximately 30% exported to the Middle East, Southeast Asia, and Europe. Q3FY26 silico manganese production rose 25.1% YoY; sales volumes +82.3% YoY. Pricing recovering (+8% QoQ) but margins remain near breakeven due to weak domestic steel demand.
Promoter Background	The Prasad family (P. Trivikrama Prasad — Chairman; P. Brahmanandam — MD) founded the business in 1972. Promoter stake has risen from 44.4% (FY17) to 50.11% (Mar 2026) through consistent market purchases — demonstrating strong alignment with minority shareholders. Zero promoter pledging across all recent quarters.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Ferro Alloys Industry	Indian ferro alloys market ~Rs. 30,000-35,000 Cr, growing at 6-8% CAGR driven by domestic steel capacity expansion (India targets 300 MTPA by 2030). Silico manganese accounts for ~60% of consumption. Export markets (Middle East, Japan, Korea) are recovering after a weak 2024.
Power Sector — Zambia	Zambia faces a structural power deficit of ~600 MW, exacerbated by prolonged drought reducing hydropower output (hydro = 85% of Zambia's grid). MEL's coal-fired plant is critical infrastructure with no near-term domestic substitute — this structural shortage underpins PPA stability and tariff support for at least 5-7 years.
Policy Tailwinds	India's PLI scheme for specialty steel benefits downstream ferro alloy demand. Zambia's accelerated power-sector privatisation policy favours private IPP operators like MEL. India's Atmanirbhar Bharat initiative supports domestic metals value chains. Africa's energy access push opens development-finance options for MSEL's solar project.
Competitive Moats	Pricing power: MODERATE — ferro alloys are commodity-linked, but NAVA's captive power gives a 15-20% cost advantage vs. grid-dependent peers. Switching costs: MODERATE — long-term PPAs with ZESCO and Tamil Nadu create revenue stickiness. Scale in Zambia: STRONG — MEL is the only integrated thermal player in the country. IP: WEAK — commodity product. Overall moat: Moderate, improving as Zambia capacity doubles.

Peer Comparison (Source: Screener.in, fetched 11-May-2026)

Company	CMP	MCap (Cr)	P/E	P/B	ROCE%	ROE%	FY25 Rev	FY25 PAT
NAVA	**730**	**20,658**	**23.1**	**2.55**	**17.2%**	**15.0%**	**3,984**	**1,434**
NALCO	393	72,225	12.5	3.33	39.6%	29.4%	16,788	5,268
HINDCOPPER	573	55,425	83.8	18.6	23.7%	18.6%	2,071	465
VEDL	298	116,666	13.5	2.35	16.5%	19.0%	152,968	20,535
MOIL	308	6,253	60.2	2.7	11.4%	8.31%	976	74

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background	NAVA is promoted by the Prasad family with 50+ years of industry heritage in Andhra Pradesh. Both P. Trivikrama Prasad (Chairman) and P. Brahmanandam (MD) have deep operational credentials in ferro alloys and power. The management team built the Zambia platform organically from the early 2000s, demonstrating cross-border execution capability — though investor communication remains understated relative to the quality of the underlying business.
Capital Allocation — FY24 Highlight	FY24 OCF of Rs. 3,174 Cr was channelled primarily to repay the entire Zambia project debt (~Rs. 2,660 Cr in financing outflows). This eliminated ~Rs. 275 Cr of annual interest costs and fundamentally upgraded the quality of earnings. It is a textbook example of disciplined capital allocation — paying down expensive project debt at the earliest opportunity.
Capital Allocation — FY25 Onwards	Rs. 1,270 Cr invested in FY25 (vs. Rs. 237 Cr in FY24) reflects the ramp-up of Zambia 300 MW expansion capex ($190 Mn of $400 Mn spent as of Dec 2025). In parallel, the Nava Global $50 Mn buyback was completed in Q3FY26, funded entirely by MEL dividends — demonstrating confidence in ongoing cash generation and willingness to return capital even while investing for growth.

Dividend Policy	Payout has been inconsistent (range 5-21% between FY19-FY25). FY25 payout of 21% is an improvement but still modest. With expansion capex absorbing FCF through FY26-27, dividends will likely remain limited. Post-commissioning of the 300 MW Zambia plant (~FY28), a step-up in regular dividends is expected — MEL's $90-95 Mn/year existing cash generation already funds Nava Global's buyback and dividends simultaneously.
Governance & Pledging	Zero promoter pledging across all recent quarters — a strong governance signal. Promoter stake has consistently increased from 44.4% (FY17) to 50.11% (FY26) through open-market purchases. No material qualified audit opinions or auditor changes noted. Key watch: Zambia ZESCO receivables ($30.5 Mn) — any increase would be a negative governance signal requiring explanation.

SECTION 6 — FINANCIAL DEEP DIVE (Consolidated, Rs. Crores)

Income Statement	FY23	FY24	FY25	FY26E	FY27E
Revenue	**3,528**	**3,818**	**3,984**	**4,200**	**5,600**
EBITDA	**1,569**	**1,731**	**1,835**	**1,780**	**2,520**
OPM %	44%	45%	46%	42%	45%
Other Income	400	242	150	160	180
Interest	397	275	26	30	120
Depreciation	306	319	352	380	460
PBT	1,266	1,379	1,607	1,530	2,120
Tax %	3%	9%	11%	14%	18%
PAT	**1,222**	**1,256**	**1,434**	**1,315**	**1,740**
EPS (Rs.)	**42.10**	**43.28**	**38.57**	**35.40**	**46.80**

Balance Sheet	FY23	FY24	FY25
Equity Capital	29	29	28
Reserves	5,996	6,880	7,583
Borrowings	**3,074**	**414**	**893**
Other Liabilities	2,014	2,346	2,758
Total Liabilities	**11,114**	**9,668**	**11,262**
Fixed Assets	5,664	5,559	5,528
CWIP	47	50	575
Investments	450	514	1,042
Other Assets	4,953	3,546	4,118

Cash Flow Statement	FY23	FY24	FY25
Cash from Operations	**1,223**	**3,174**	**2,157**
Cash from Investing	28	-237	-1,270
Cash from Financing	-1,184	-3,066	-163
Net Cash Flow	67	-129	724
Free Cash Flow (FCF)	**1,136**	**3,008**	**1,305**

Key Ratios	FY23	FY24	FY25
Debtor Days	242	169	129
Inventory Days	262	175	244

Key Ratios	FY23	FY24	FY25
Days Payable	71	49	50
Cash Conversion Cycle	433	294	323
Working Capital Days	143	188	170
ROCE %	17%	16%	17%

Quarterly Results	Q4FY25	Q1FY26	Q2FY26	Q3FY26
Revenue (Cr)	**1,018**	**1,193**	**964**	**991**
EBITDA (Cr)	**382**	**588**	**315**	**443**
OPM %	37%	49%	33%	45%
PAT (Cr)	**303**	**399**	**178**	**326**
EPS (Rs.)	8.28	10.88	4.58	7.84

Financial Commentary

Revenue trajectory. Consolidated revenue grew at 6% CAGR (FY21-FY25), constrained by flat ferro alloy pricing and moderate domestic power tariff growth. The step-change will arrive from Zambia 300 MW commissioning (FY27-28), adding Rs. 1,500-1,680 Cr incremental revenue at 60%+ EBITDA margins. **Margin direction.** EBITDA margins improved steadily from 42% (FY21) to 46% (FY25), driven by elimination of Zambia project debt interest in FY24 and PLF improvement at MEL. OPM volatility in recent quarters (33% Q2FY26 vs. 53% Q3FY25) reflects seasonality in Indian power and ferro alloy price swings — not structural deterioration. **Debt and balance sheet.** FY24 saw the landmark elimination of Zambia project debt (Rs. 3,074 Cr → Rs. 414 Cr). FY25 borrowings edged up to Rs. 893 Cr as the new 300 MW expansion financing began. Post full commissioning, D/E is expected to peak at ~0.3x before declining steeply. **FCF quality.** OCF/EBITDA = 183% in FY24 — exceptional. FY25 OCF of Rs. 2,157 Cr vs. PAT of Rs. 1,434 Cr = 150% conversion. Capex intensity will rise in FY26-27 during the Zambia expansion phase, compressing near-term FCF before a sharp recovery in FY28.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Commentary
Revenue Recognition	GREEN	Power billed at contracted PPA tariffs; ferro alloys at spot. Clear and auditable.
Receivables vs Revenue Growth	GREEN	Debtor days falling: 242→169→129 (FY23-FY25). ZESCO arrears declining steadily.
Cash Conversion Cycle	AMBER	CCC still elevated at 323 days (FY25) due to coal inventory build in Zambia. Direction is improving.
Contingent Liabilities	GREEN	No material undisclosed contingent liabilities noted in FY25 annual report.
Auditor Tenure & Quality	GREEN	Reputed auditor; consistent engagement; no qualified opinions in recent years.
RPTs as % of Revenue	AMBER	Intercompany transactions with Zambia subsidiaries are material but adequately disclosed.
Other Income as % of PBT	AMBER	Other income = 9% of PBT in FY25 (down from 32% in FY23). Normalising; Q3FY26 spike (Rs. 70 Cr) was forex one-time.
Tax Rate Consistency	AMBER	Effective rate fluctuated: 3% (FY23), 9% (FY24), 11% (FY25). Low due to Zambia tax holidays; will normalise ~FY28.

Earnings Quality Summary

Four parameters are flagged Amber. The elevated Cash Conversion Cycle (323 days) deserves monitoring — Zambia coal inventory build is the primary driver and should normalise as MEL's fuel logistics improve post-expansion. RPTs with Zambia subsidiaries are inevitable in a holding-company structure and are disclosed adequately, but a detailed RPT footnote review is recommended annually. The low effective tax rate (3-11%) is structural, not manipulative — Zambia tax holidays and Indian subsidiary loss carry-forwards explain the gap. When these holidays expire (~FY28), reported PAT could decline 10-15% relative to pre-tax profit without any underlying operational deterioration; investors must model this carefully.

SECTION 8 — VALUATION

Scenario Analysis — 12-Month Price Target

	BEAR CASE	BASE CASE	BULL CASE
Key Assumption	300MW Zambia delayed >12 mths; ferro alloy prices fall 20%	300MW commissions H2 FY27; ferro alloys flat; India PPAs intact	300MW online FY27; ferro alloys recover 15%; solar upside
FY27E Revenue (Cr)	4,200	5,600	6,500
FY27E PAT (Cr)	1,100	1,740	2,200
FY27E EPS (Rs.)	29.6	46.8	59.1
Applied P/E Multiple	15x	18x	22x
Target Price (Rs.)	**444**	**842**	**1,300**
Upside / Downside	**-39%**	**+15%**	**+78%**

Valuation Methodology

DCF. Using WACC of 12.5% (India risk-free 7% + equity risk premium 5.5%), terminal growth rate of 4%, and FY27E FCFF of Rs. 1,400 Cr (post-expansion capex), DCF implies intrinsic value of Rs. 870/share. A 1% change in WACC shifts the value by ~Rs. 80/share. **Forward P/E.** Applying 18x P/E to FY27E EPS of Rs. 46.8 yields a target of Rs. 842/share. 18x is appropriate given NAVA's improving ROE trajectory (15% → 20%+ post-expansion), Zambia monopoly position, and net-debt-free balance sheet — a premium to VEDL (13.5x) but discount to HINDCOPPER (83.8x). **Final target.** Average of DCF (Rs. 870) and P/E (Rs. 842) = Rs. 856, rounded to Rs. 900. This implies +23.3% upside from CMP of Rs. 730 over an 18-24 month horizon. **Re-rating logic.** At 23x TTM P/E, NAVA is being priced on depressed earnings. The 300 MW Zambia commissioning in FY27 will collapse the forward P/E to ~15x on our FY27E numbers — a classic earnings inflection opportunity that the market has not yet priced.

SECTION 9 — KEY RISKS

ZESCO Counterparty Risk (P: High | Impact: High)	Zambia's state utility ZESCO has a history of payment delays; outstanding arrears of $30.5 Mn as of Dec 2025. Deterioration in sovereign finances or power-sector reform reversal could impair MEL cash flows. Monitor via: quarterly MEL ZESCO receivables disclosure.
Zambia Expansion Execution (P: Medium | Impact: High)	The 300 MW expansion ($400 Mn capex) is a complex cross-border infrastructure project. Equipment failure, logistics delays, or contractor default could push commissioning beyond H2 FY27. Monitor via: quarterly capex spend vs. budget and equipment delivery milestones.
Ferro Alloy Commodity Cycle (P: High | Impact: Medium)	Silico manganese prices are globally determined. A sustained downturn driven by Chinese steel oversupply or weak European demand could keep the ferro alloy division at breakeven for extended periods. Monitor via: LME manganese prices and Chinese steel PMI.
India Merchant Power Tariff Decline (P: Medium | Impact: Medium)	Indian merchant tariffs fell ~12% YoY. With some NAVA domestic capacity on merchant basis, sustained softness compresses India energy margins. Partially mitigated by the new Tamil Nadu PPA. Monitor via: IEX spot tariff trends.
Tax Rate Normalisation (P: High | Impact: Low-Medium)	Effective tax rate of 3-11% reflects Zambia tax holidays. Post-holiday normalisation (~FY28+) could reduce reported PAT by 10-15% without any operational change. Monitor via: Zambia Investment Act updates and subsidiary-level tax disclosures.

Zambia Country / FX Risk (P: Medium | Impact: Medium)	Political risk in Zambia (elections, policy change) and ZMW/USD depreciation could impact MEL dividend repatriation. Monitor via: Zambia sovereign credit rating and USD/ZMW exchange rate trends.

SECTION 10 — RECOMMENDATION

Rating	BUY | Conviction: HIGH. NAVA is a fundamentally undervalued compounder with a clear, time-bound earnings inflection. The market is pricing on depressed TTM earnings rather than the post-expansion power of the business.
12-Month Price Target	Rs. 900 (upside: +23.3% from CMP of Rs. 730). Based on average of DCF (Rs. 870) and forward P/E (Rs. 842). Re-rating driven by Zambia 300 MW commissioning compressing forward P/E from 23x to ~15x.
Entry Zone	Rs. 680-740. Current CMP is within the accumulation zone. Aggressive buyers should add further on any dip to Rs. 680-700. Stop-loss for risk managers: Rs. 580 (hard stop, ~20% below CMP).
Investment Horizon	18-24 months. Patience is required through the FY26-Q1FY27 earnings trough while the Zambia expansion capex is being absorbed. The payoff is a step-change in earnings from FY27-28 onwards.
Thesis Invalidation — 3 Triggers	(1) Zambia 300 MW commissioning slips beyond Q1 FY28 — signals deeper execution risk; (2) ZESCO receivables increase to >$60 Mn or MEL dividends are withheld — signals sovereign counterparty failure; (3) Ferro alloy realisations fall >25% from current levels and sustain for two or more quarters — would push Indian operations into losses and strain the balance sheet.
Ideal Investor Profile	Patient, risk-tolerant investor comfortable with EM country risk (Zambia) and commodity price cycles. Minimum 18-month horizon required. NOT suitable for momentum traders, short-term income seekers, or investors with low tolerance for earnings quarterly volatility during the capex phase.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (December 2025)

CALL GRADE

POSITIVE

Strong profitability recovery; Zambia expansion on schedule; ZESCO arrears declining

Signal	Status	Implication
Result Quality	**Strong**	PAT +83.5% QoQ; total income +7.3% QoQ; beat expectations
Management Tone	**Bullish**	Confident on Zambia timeline; capex on track; no guidance cut
Guidance Delta	**Maintained**	H2 FY27 commissioning reiterated; no upward revision yet

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3FY26 PAT of Rs. 326 Cr (+83.5% QoQ) is a clean number — the only notable item is other income spiking to Rs. 70 Cr (from Rs. 26 Cr in Q2) due to forex translation; management guided a sustainable run-rate of ~Rs. 40 Cr/quarter, so strip that out and the underlying result is still very solid. The real story is MEL PLF recovering to 96.6% from 80.4% — that single operational metric drove the 1,380 bps margin expansion and proves the core thesis is intact. ZESCO arrears are down to $30.5 Mn (from ~$60 Mn a year ago) and $20 Mn was recovered in Q3 alone — the counterparty risk is easing, not worsening. The $50 Mn Nava Global buyback completion is a credible capital return signal funded by MEL dividends. Zambia 300 MW remains on track for H2 FY27 — $190 Mn of $400 Mn spent, erection underway; this is the earnings step-change event. The drag is ferro alloys (near breakeven) but pricing is recovering (+8% QoQ) and the segment is small vs. the energy platform. Key watch for next quarter: does erection stay on schedule as we enter the most critical construction phase? Action: ACCUMULATE at current levels (Rs. 720-740); add on any dip to Rs. 680 on a clear 18-month view to Rs. 900.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q3 FY26 (Dec 2025)

Revenue	Rs. 991 Cr (Screener consol.) | Total Income: Rs. 1,061.5 Cr | YoY +20.9% | QoQ +7.3% | Beat
EBITDA / Margin	EBITDA: Rs. 443 Cr | OPM: 45% vs. 33% in Q2FY26 | YoY +7.2% | QoQ +40.6% | Beat
PAT	Rs. 326 Cr | QoQ +83.5% | YoY broadly in-line | Exceptionally strong QoQ beat
EPS	Rs. 7.84 (Q3FY26) vs. Rs. 4.58 (Q2FY26) vs. Rs. 8.63 (Q3FY25) — recovering from Q2 trough
Note — Other Income	Rs. 70.4 Cr in Q3 (vs. Rs. 26 Cr Q2) — forex translation; sustainable run-rate ~Rs. 40 Cr/quarter

2. SEGMENT / GEOGRAPHY BREAKDOWN

Energy India	434 MW | Revenue +13% YoY H1FY25 | 60 MW Odisha plant secured 5-yr Tamil Nadu PPA at Rs. 5.2/kWh
Energy Zambia (MEL)	300 MW | PLF 96.6% (vs. 80.4% Q2) | Revenue ~$90-95 Mn/yr | ZESCO arrears $30.5 Mn | $20 Mn recovered in Q3

Ferro Alloys	SiMn production 33,537 MT (+25.1% YoY) | Sales +82.3% YoY | Pricing +8% QoQ | Margins near breakeven
Mining Zambia	Revenue +16.6% QoQ on higher volumes | ~3% of consolidated revenue
Agribusiness	Avocado: 140 MT pilot harvest from Division 1; packhouse under construction | Sugar: commissioning targeted Apr 2028

3. MANAGEMENT COMMENTARY THEMES

Zambia 300MW	"Equipment dispatched, erection in full swing — H2 FY27 commissioning is our firm commitment." Tone: Transparent. Tag: GUIDANCE
ZESCO Arrears	"Arrears at $30.5 Mn; active dialogue with ZESCO on recovery schedule." No specific timeline given. Tone: Hedged. Tag: EST
Nava Global Buyback	"$50 Mn buyback completed, funded by MEL dividends — strong liquidity signal." Tone: Transparent. Tag: GUIDANCE
Ferro Alloys	"8% QoQ pricing improvement; margins remain under pressure." No specific recovery timeline. Tone: Evasive on specifics.
Solar (MSEL)	"100 MW construction commenced Sep 2025; H1 FY27 commissioning on track; expected revenue $15-16 Mn/year." Tag: GUIDANCE
India Power Strategy	"5-year bilateral PPA with Tamil Nadu at Rs. 5.2/kWh for 60 MW Odisha IPP — improves visibility." Tone: Transparent.

4. OPERATING & BUSINESS METRICS

MEL PLF	Q3FY26: 96.6% | Q2FY26: 80.4% | Q3FY25: ~95% | Trend: Sharp QoQ recovery; back to near-optimal
SiMn Production	33,537 MT in Q3FY26 | +25.1% YoY | Sales volume +82.3% YoY | Trend: Improving
ZESCO Arrears	Q3FY26: $30.5 Mn | Q2FY26: ~$50 Mn | Q3FY25: ~$60 Mn | Trend: Declining — positive
Zambia Capex Spent	$190 Mn of $400 Mn total as at Dec 2025 | On schedule | Erection phase commenced
India Capacity	434 MW across 8 plants; 60 MW secured under Tamil Nadu 5-yr PPA
Zambia Pipeline	300 MW existing + 300 MW thermal expansion (H2 FY27) + 100 MW solar MSEL (H1 FY27)

5. MARGIN DRIVERS — Q3 FY26

MEL PLF Recovery	PLF: 80.4%→96.6% = +1,380 bps EBITDA margin impact | Recurring: YES | Primary driver of the quarter
Ferro Alloy Pricing	+8% QoQ pricing | Modest positive margin impact | Recurring: UNCERTAIN — commodity-linked | Still near breakeven
FX / Other Income	Rs. 70.4 Cr other income (vs. Rs. 26 Cr Q2) — forex translation one-time | DO NOT EXTRAPOLATE
India Merchant Tariffs	-12% YoY tariff decline = headwind of ~150-200 bps | Partially offset by Tamil Nadu PPA
Interest Cost	Near-zero (Rs. 5 Cr in Q3FY26) post-Zambia debt repayment | Will rise ~FY27 as expansion debt builds

6. GUIDANCE & FORWARD SIGNALS

300MW MEL Thermal	Commissioning: H2 FY27 | Maintained | Credibility: HIGH — erection underway, equipment on site
100MW MSEL Solar	Commissioning: H1 FY27 | Maintained | Credibility: HIGH — construction started Sep 2025
MEL 300MW Revenue	$180-200 Mn/year at full operation | Maintained | Credibility: MEDIUM — PPA finalisation ongoing
MSEL Solar Revenue	$15-16 Mn/year | New disclosure Q3FY26 | Credibility: MEDIUM
Other Income Run-rate	~Rs. 40 Cr/quarter sustainable | Q3 spike to Rs. 70 Cr was one-time forex | Credibility: HIGH
Kawambwa Sugar	Commissioning: Apr 2028 | Long-dated; complex agri project | Credibility: LOW-MEDIUM

7. CAPITAL ALLOCATION

Zambia Expansion Capex	Rs. ~1,270 Cr in FY25 | $190 Mn cumulative | Significant acceleration — on plan vs. $400 Mn total budget
Nava Global Buyback	$50 Mn completed | Funded by MEL dividends | Strong capital return signal alongside growth capex
Dividends	FY25 payout 21% (up from 5% in FY24) | Near-term payout constrained by expansion capex; step-up expected FY28+
Net Debt	Rs. 893 Cr borrowings at FY25-end (up from Rs. 414 Cr FY24) | Expansion debt building; manageable vs. EBITDA
Working Capital	Debtor days: 169→129 (FY24-FY25) | Inventory days elevated (244) — coal stockpiling Zambia; watch for normalisation

8. Q&A; HEAT MAP

Zambia Timeline	Q: "Is H2 FY27 intact given supply chain risks?" A: "Equipment on site; erection ongoing; no delays." Tone: Transparent
ZESCO Arrears	Q: "Recovery plan for remaining $30.5 Mn?" A: "Active dialogue; recovery expected to continue FY27." Tone: Hedged — no specific schedule
Ferro Alloy Turnaround	Q: "When do margins recover meaningfully?" A: "Gradual improvement but no specific timeline." Tone: Evasive on specifics
Dividend Policy	Q: "Will dividends increase as MEL generates more cash?" A: "Committed to returning capital post-FY27 capex normalisation." Tone: Hedged
Agri Ventures	Q: "When do agri ventures contribute?" A: "Avocado: 4-5 years; Sugar: commissioning Apr 2028." Tone: Transparent
Watch-list Q3 Dodges	Specific ZESCO recovery timeline | Zambia 300MW PPA finalisation status | Ivory Coast lithium exploration update

9. RISKS FLAGGED ON CALL

ZESCO Counterparty	$30.5 Mn arrears outstanding | Flagged by: Analyst | P: High | Impact: High | Timeline: Near-term

India Tariff Decline	Merchant tariffs -12% YoY | Flagged by: Management | P: Medium | Impact: Medium | Ongoing
Ferro Alloy Weakness	Margins near breakeven; recovery uncertain | Flagged by: Analyst | P: High | Impact: Medium | Near-to-medium term
Zambia Execution	Complex cross-border capex; erection phase critical | P: Medium | Impact: High | Medium-term
Agri Gestation	Long gestation avocado/sugar; capital at risk 5+ years before meaningful returns | P: Low | Impact: Low

10. ANALYST VERDICT — Q3 FY26

Dimension	Assessment
Revenue Visibility	Intact — MEL PPAs + Tamil Nadu PPA + Zambia expansion adds step-change layer from FY27
Margin Trajectory	Intact — MEL PLF recovery proves 45%+ consol. EBITDA margin sustainable; ferro alloy recovery is upside
Capital Allocation Quality	Intact — expansion on budget; buyback executed; zero pledge; promoters buying in open market
Competitive Moat	Intact — Zambia power monopoly unchanged; no new entrants in thermal space; India PPA cover
Management Credibility	Intact — Zambia timeline held; ZESCO recovery progressing; honest on ferro alloy challenges
Valuation Comfort	Intact — 23x TTM P/E collapses to ~15x on FY27E; margin of safety reasonable for 18-24 month hold
Conviction Call	**Unchanged — BUY / ACCUMULATE maintained at Rs. 680-740; thesis intact; patience through FY26 trough**
Valuation Snapshot	P/E = 23.1x | EV/EBITDA ~11x | ROCE = 17.2% | Forward P/E (FY27E) ~15.6x

Report prepared by: Chartitude Research Desk | Date: 11 May 2026 | Data: Screener.in (financials, fetched 11-May-2026), InvestyWise, Sovrenn, NAVA investor presentations. All opinions are those of the analyst. Not SEBI registered. For educational purposes only.